True Balance-Case study

True Balance: Helping New-to-Credit Borrowers Make Their First Repayment

Product case study by Sudiksha Gupta · Independent concept work

> **In one line:** For a new-to-credit borrower, the first repayment decides their credit future. A clear repayment calendar, a well-explained UPI AutoPay step and timely reminders turn missed first payments into a good credit history.

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1. Context

- True Balance, founded in 2014, combines payments (recharges, bill payments, wallet) with small-ticket personal loans in one app.
- Lending runs through its NBFC, True Credits Pvt Ltd, and targets underbanked and new-to-credit customers that banks often avoid.
- It has disbursed more than $30 million in loans in the current financial year and raised $10 million in debt in March 2026 to expand lending.

Why it matters: for small-ticket loans, a missed first payment is the earliest and strongest signal of loss. It also damages a first-time borrower's credit record before it has even started.

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2. Problem

Example user: Ramesh, 29, delivery partner, Jaipur

Loan	₹8,000, his first ever
At disbursal	Money arrives in minutes; he skips the optional AutoPay step
The due date	He thinks it's the 10th; it's the 5th
Result	Misses the payment, gets late fees and a negative bureau entry

Ramesh intended to pay. He just didn't know when or how much.

3. Insights

- **Many first misses are confusion, not unwillingness.** Due dates, amounts and fees are shown once, at disbursal, when the borrower is focused on getting the money.
- **AutoPay is easy to skip.** Users worry about money being taken without warning, so they decline it.
- **Reminders come too late.** A message on the due date leaves no time to arrange funds.
- **Cash flow is irregular.** Gig and daily-wage workers may have part of the amount on the due date, but not all of it.

To validate: first-payment default rate split by AutoPay status; reminder open rates against payment timing; calls from borrowers asking about due dates.

4. Hypothesis

If borrowers see a simple repayment calendar at disbursal, set up UPI AutoPay with a plain explanation, and get reminders days before the due date, more first repayments will be paid on time.

5. Competitive landscape

	True Balance today	Other small-ticket lending apps
Fast disbursal	Yes	Yes
Repayment calendar at disbursal	Opportunity	Varies
AutoPay with plain-language explanation	Opportunity	Varies
Part-payment before due date	Opportunity	Rare

Takeaway: disbursal speed is table stakes. Repayment experience is where lenders differentiate on loss rates.

6. Solution

Priority	Feature	What it does
High	Repayment calendar	Shows every due date and exact amount at disbursal, saved to the phone calendar in one tap
High	Plain AutoPay step	Explains in simple words: what is debited, when, and how to cancel; set as the default
High	Early reminders	App and WhatsApp messages 3 days and 1 day before the due date, with a pay link
Medium	Part-pay option	Lets users pay what they can before the due date to reduce penalties
Medium	First-repayment reward	A small benefit (such as a higher next limit) for paying on time

User flow

1. Loan approved: a calendar card shows "₹2,150 due on 5 June" for each instalment.
2. AutoPay step: "We'll take ₹2,150 on 5 June from your UPI. You'll get a message 3 days before. Cancel anytime." Set up in one approval.
3. Three days before: "Your payment of ₹2,150 is due on 5 June. Pay now or keep ₹2,150 in your account."
4. One day before: a final reminder with a one-tap pay link.
5. If the user is short: "Pay part now to reduce late fees."
6. After an on-time payment: "Great start. Your next limit can go up to ₹12,000."

7. Success metrics

Metric	Target
First repayment paid on time	Primary metric
AutoPay set-up rate at disbursal	Increase
Payments made after a pre-due reminder	Increase

Metric	Target
Second-loan uptake among on-time payers	Increase
Loan disbursal conversion	Guardrail: no drop from the extra step

8. Risks and trade-offs

Risk	Mitigation
Extra AutoPay step slows disbursal	Keep it to one screen; test default-on vs optional
Users feel AutoPay is risky	Clear amounts, dates, advance notice and easy cancellation
Reminder overload	Only two pre-due messages per instalment
Part-pay encourages late full payment	Show clearly how much fee is saved by paying in full on time

9. Rollout

1. **Test:** calendar plus early reminders for all new borrowers (low effort, low risk).
2. **Test:** AutoPay as a strong default vs optional, measuring both on-time rate and disbursal conversion.
3. **Expand:** add part-pay and the on-time reward once the first two show results.

10. Conclusion

For new-to-credit borrowers, the first repayment is the moment that builds or breaks a credit history. True Balance can protect both its loan book and its customers by making the date, the amount and the payment itself impossible to miss.

Sources: TechStory and CXO Digital Pulse on True Balance's $10 million debt raise (March 2026). Loan amounts and user examples are illustrative. Verify current product flows before publishing.